IOWN

The Morning Brief

APRIL 1, 2026

Exit Signal

Trump says US forces will leave Iran in two to three weeks as the S&P posts its best day since May, but JOLTS reveals hiring at pandemic-era lows beneath the relief rally.

S&P 500	BRENT CRUDE	GOLD	BITCOIN	FEAR & GREED
6,503 ↑2.91%	~$110 ↓3.7%	~$4,720 ↑3.8%	~$68,000 ↑2.0%	8 · Extreme Fear

SECTION 01

Markets

THE MOST POWERFUL RELIEF RALLY SINCE THE WAR BEGAN

Tuesday delivered a session that erased the prior week's damage in a single day. The S&P 500 surged 2.91%, the Dow gained 2.46%, the Nasdaq rallied 3.39%, and the Russell 2000 led at +3.50%. UVXY collapsed 14.14%—one of the sharpest single-session vol crushes of the conflict. Tech (+4.24%) led all sectors, followed by industrials (+3.27%) and discretionary (+3.14%). Energy (–1.13%) was the only sector in the red—a mirror image of the prior weeks when energy was the sole gainer. The catalyst was Trump stating that US forces would leave Iran in "two or three weeks" and that military objectives had been largely accomplished. The Wall Street Journal reported that the administration may be willing to end the campaign even if the Strait of Hormuz remains largely closed. Wednesday premarket continues the momentum: S&P futures are up approximately 0.46% to 6,601, Nasdaq futures adding 0.63%. Oil is slipping further, with Brent near $108 and WTI retreating toward $100.

GOLD AND EQUITIES RALLY TOGETHER FOR THE FIRST TIME IN THE CONFLICT

Gold surged 3.79% on Tuesday, with GLD closing at $430.29, placing spot gold near $4,720. Silver rallied 7.27%. Notably, gold and equities moved in the same direction for the first time since the war began—a signal that the forced-liquidation selling that depressed gold during the conflict's most intense weeks has likely exhausted. When the peace trade and the safe-haven trade work simultaneously, it suggests the market is repricing toward a post-conflict environment. IOWN's gold miners outperformed again: GFI surged 7.33% and AEM gained 5.80%. Gold is trading near $4,700 in early Wednesday trading, consolidating the breakout. J.P. Morgan's year-end target of $6,300 now represents approximately 34% upside from current levels.

THE ROTATION WAS TOTAL — GROWTH LEADS, ENERGY LAGS

The sector rotation was the sharpest of the conflict. IOWN's top performers read like a growth portfolio: SUPV +12.00%, HUT +9.81%, COIN +8.60%, LRCX +6.87%, TSM +6.78%, CAT +6.15%, TEL +5.23%, NVDA +5.59%, ADI +4.96%. The bottom five were all energy and midstream: CNX –3.58%, OKE –2.76%, CVX –1.81%, VLO –1.27%, ADP –1.11%. IUSG (+4.03%) sharply outperformed DVY (+0.92%)—growth reclaiming leadership from dividend value for the first time since late February. If Trump's exit timeline holds, the rotation could persist as the war premium unwinds from energy and flows back into growth, tech, and risk assets. The China-Pakistan five-point peace initiative, announced Monday, adds a multilateral diplomatic framework that may accelerate Hormuz normalization.

JOLTS REVEALS THE DAMAGE BENEATH THE RALLY — HIRES AT PANDEMIC-ERA LOWS

Tuesday's JOLTS report showed a labor market that is deteriorating independently of the war. The hires rate fell to 3.1% in February—the lowest since April 2020, according to the Bureau of Labor Statistics. Job openings declined by 358,000 to 6.882 million, below the consensus estimate of 6.92 million. The quits rate has held at or below 2.0% for the eighth consecutive month, registering 1.9% in February, while total separations exceeded hires, meaning the labor market contracted slightly on net. CNN characterized the hiring pace as the weakest in 15 years outside of the pandemic. The data was overshadowed by the peace rally, but it is the more durable signal: even if the war ends tomorrow, the labor market was cooling before the first strike on February 28. For IOWN, this reinforces the case for the dividend sleeve's cash-generative holdings—names like ADP, FAST, and SYK that perform through economic slowdowns—and suggests the Fed remains constrained between inflation that is too high and employment that is weakening. The stagflation risk has not resolved; it has merely been temporarily eclipsed by geopolitical relief.

S&P 500	**6,503 · ↑2.91% · Futures ↑0.46% Wed AM**
BRENT CRUDE	**~$110 ↓3.7% Tue · Retreating further overnight**
GOLD	**~$4,720 ↑3.79% · Gold + equities both up**
JOLTS HIRES RATE	**3.1% · Lowest since April 2020**
UVXY	**↓14.14% · Largest vol crush of the conflict**
FEAR & GREED	**8 · Extreme Fear · Has not yet reflected the rally**

The market rallied on what Trump said, not on what Iran agreed to. This is the same dynamic that drove the initial five-day-pause rally two weeks ago—and that rally was sold within 48 hours when Iran rejected the 15-point plan. Tonight's address at 9 PM ET is the test: if Trump announces a ceasefire framework with a credible timeline, the rally has room to extend. If the speech is aspirational without mechanism, the pattern reasserts. Think Like an Owner—the JOLTS data is the signal that persists regardless of the geopolitical outcome.

Geopolitics

TRUMP SIGNALS EXIT — TWO TO THREE WEEKS, EVEN WITHOUT HORMUZ

The most significant development of the conflict: Trump told reporters on Tuesday that US forces would leave Iran in “two or three weeks,” stating there is “no reason for us to do this” and that military objectives have been largely accomplished. The Wall Street Journal reported that the administration may be willing to end the campaign even if the Strait of Hormuz remains largely closed, a dramatic softening from the original demand for complete Hormuz reopening. Trump added that he would leave it to other nations to address the waterway. This represents a fundamental shift in the stated war aims: from denuclearization plus Hormuz reopening to a unilateral declaration of accomplished objectives. Trump is expected to address the nation tonight at 9 PM ET with what the White House described as an “important update” on the war. The market is pricing the exit signal at face value; the question is whether Iran, Israel, and regional allies accept the same timeline.

CHINA-PAKISTAN FIVE-POINT INITIATIVE PROVIDES A MULTILATERAL FRAMEWORK

China’s Wang Yi and Pakistan’s Foreign Minister Dar announced a joint five-point peace initiative on Monday, according to Axios. The framework calls for an immediate cessation of hostilities, humanitarian access, protection of critical infrastructure, early restoration of civilian shipping through Hormuz, and a comprehensive peace framework under the UN Charter. The plan is more aligned with Iran’s counter-demands than with Washington’s 15-point proposal, notably omitting denuclearization requirements. Turkey, Egypt, and Saudi Arabia participated in the Pakistan-hosted talks over the weekend, creating the broadest diplomatic coalition to date. Pakistani officials confirmed that both Washington and Tehran have expressed confidence in Pakistan as a mediator. If in-person talks materialize this week—which both sides have indicated willingness toward—the April 6 strike deadline could become moot. For markets, the convergence of Trump’s exit signal and a credible multilateral framework is why Tuesday’s rally was the most powerful of the conflict.

The Conflict Continues on the Ground Despite Diplomatic Momentum

Despite the diplomatic signals, the fighting has not paused. Iranian missile fire toward central Israel and Tel Aviv wounded at least 14 people on Wednesday, according to CNN. Israel has accelerated strikes on Iranian military manufacturing sites, with officials indicating they would need several more weeks to complete operations. Iran’s government stated it is prepared for at least six months of fighting. Approximately 3,500 additional US Marines and soldiers arrived in theater aboard the USS Tripoli, with reports suggesting the Pentagon has prepared contingency plans for limited ground operations. Tehran characterized US troop movements as preparation for escalation rather than withdrawal. The gap between diplomatic rhetoric and battlefield reality remains significant—but for the first time since the conflict began, the diplomatic track appears to be leading rather than lagging the military track.

Trump Exit Signal“Two or three weeks” · May accept Hormuz closed (WSJ)

TonightTrump addresses nation at 9 PM ET · “Important update”

China-Pakistan Plan5-point framework · Ceasefire + Hormuz + UN Charter

April 6 DeadlineMay become moot if talks progress this week

Fighting ContinuesIran missiles hit Israel Wed · 14 wounded · Strikes ongoing

SECTION 03

On Our Radar

1. Trump's address tonight at 9 PM ET is the week's binary event. If the president announces a ceasefire framework with a credible withdrawal timeline, the relief trade could extend through the remainder of the week. If the speech is aspirational without concrete mechanism, markets may give back a portion of Tuesday's gains. Energy names (CVX, VLO, OKE) would face further pressure on a credible exit; growth and tech would continue to lead. The digital sleeve (COIN +8.60%, HUT +9.81%, HOOD +6.35%) is the highest-beta play on de-escalation. Think Like an Owner.

2. ISM Manufacturing arrives at 10 AM ET this morning. February's reading of 52.4 marked the second consecutive expansion. Regional manufacturing surveys have been constructive heading into the report. However, the prices-paid subindex at 70.5 in February signaled intense cost pressure. If March ISM shows expansion with rising prices paid, the stagflation narrative intensifies even as the geopolitical risk fades. ADP private payrolls also arrive today. Research Reveals Opportunities.

3. The JOLTS hiring rate at 3.1% is the data point that persists after the war ends. The labor market was cooling before the first strike on February 28. Hires at pandemic-era lows, quits stagnant at 1.9%, and the openings-to-unemployed ratio at 1.1 all paint a picture of a market that has lost dynamism. Even in a ceasefire scenario, the Fed faces a dual mandate problem: inflation driven by energy costs that may ease, but a labor market that is softening independently. Rate-sensitive IOWN holdings (NEE, BKH, ATO) may see some relief if oil declines reduce inflation expectations, but the employment side of the equation has deteriorated. **Simplicity Over Complexity.**

4. The rotation from energy to growth could have legs if the exit timeline holds. Tuesday's session saw IUSG (+4.03%) outperform DVY (+0.92%) by the widest margin since late February. LRCX (+6.87%) recovered nearly half of its prior-week 9.35% decline. TSM (+6.78%), NVDA (+5.59%), and AMD (+3.77%) all surged. If the war premium continues to unwind, the capital that flowed into energy and defense over the past month could rotate back into growth and semiconductors. The AI capex thesis—ARM's in-house chip, GTC's $1 trillion pipeline, CPU pricing power—did not change during the conflict; it was merely overshadowed. The physical world matters.

5. Good Friday and payrolls create a compressed end to the week. Markets close Friday, April 3 for Good Friday. March nonfarm payrolls are released that morning at 8:30 AM ET. February payrolls contracted by 92,000 jobs. If March confirms further weakness, the reaction is deferred entirely to Monday, April 6—which is also when Trump's energy strike deadline expires (though tonight's speech could render that deadline moot). Two major catalysts converging on a single Monday morning remains the structural risk of the week. Avoid Erosion.

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